

# NovaSaaS Inc.

Investment Memorandum · March 2026

\$485M

ENTRY EV

18.5x

ENTRY EV/EBITDA

24.0%

BASE GROSS IRR

2.9x

GROSS MOM

5 Yrs

HOLD PERIOD

\$85M

GP CARRY

## 1 EXECUTIVE SUMMARY

A private equity sponsor is evaluating the leveraged buyout of **NovaSaaS Inc.**, a B2B SaaS platform in workflow automation and AI document intelligence serving 850+ enterprise clients. The transaction is structured at **\$485m EV (18.5x LTM EBITDA)**, financed through a three-tranche debt package at 55% LTV with the balance funded by sponsor equity and a management rollover. The base case delivers a **24.0% gross IRR / 2.9x MoM** (20.5% net IRR) over a five-year hold, underwritten at a conservative **15.0x exit multiple — 3.5 turns below entry**. Returns are therefore generated by EBITDA growth and rapid deleveraging, **not** by multiple expansion.

**RECOMMENDATION: PROCEED TO EXCLUSIVITY — RECOMMENDED BUY.** The base case clears fund hurdles (20% IRR / 2.5x MoM) while assuming multiple compression. The downside case (~11% CAGR, 13.0x exit) still returns 1.7x MoM, preserving capital.

## 2 INVESTMENT THESIS

- High-quality recurring revenue.** 118% net revenue retention and <12% gross churn underpin predictable free cash flow and debt serviceability across all downside scenarios; the ARR base provides ~12 months of revenue visibility.
- Large, underpenetrated market.** \$28B TAM growing ~19% CAGR; NovaSaaS at <2% penetration — substantial organic runway complemented by bolt-on M&A optionality.
- Disciplined operating plan.** EBITDA margin expands from **54.5% to 57.5%** by Year 5 (+0.6 pts/yr) through G&A operating leverage; revenue growth is modelled to **decelerate from 22% to 11%** (~16% CAGR) rather than held flat — a deliberately conservative base.
- Returns independent of multiple expansion.** The base case underwrites a 15.0x exit vs. 18.5x entry. Value creation comes from ~2.2x EBITDA growth and deleveraging from 10.2x to 3.2x — the thesis does not rely on a richer exit multiple.
- Management alignment.** Key executives roll **\$14.5m (3% of EV)** and the MIP pool allocates 10% of equity upside, incentivising the team to drive outperformance through to exit.

## 3 TRANSACTION STRUCTURE — SOURCES & USES

| Sources & Uses (\$m)      | \$M   | % EV   | Debt Tranche                                                                                           | x EBITDA | Rate |
|---------------------------|-------|--------|--------------------------------------------------------------------------------------------------------|----------|------|
| USES                      |       |        | Term Loan B                                                                                            | 6.5x     | 8.8% |
| Purchase Enterprise Value | 484.7 | 100.0% | Unitranche / 2nd Lien                                                                                  | 2.8x     | 8.5% |
| Transaction Fees (2.0%)   | 9.7   | 2.0%   | PIK Notes                                                                                              | 0.9x     | 8.5% |
| Financing Fees (1.5%)     | 7.3   | 1.5%   | Total Debt                                                                                             | 10.2x    | —    |
| Total Uses                | 501.7 | 103.5% | Structure Notes                                                                                        |          |      |
| SOURCES                   |       |        | TLB: 1% mandatory amort + 100% excess-FCF cash sweep                                                   |          |      |
| Term Loan B (SOFR+350)    | 169.6 | 35.0%  | Unitranche: bullet, repaid at exit                                                                     |          |      |
| Unitranche (8.5% fixed)   | 72.7  | 15.0%  | PIK: accretes to principal at 8.5% p.a.                                                                |          |      |
| PIK Notes (8.5% toggle)   | 24.2  | 5.0%   | Leverage: 10.2x entry → 3.2x exit (Yr 5)                                                               |          |      |
| Management Rollover       | 14.5  | 3.0%   | SOFR modelled at 5.3% (implied all-in TLB 8.8%) — above current market levels; lower rates are upside. |          |      |
| Sponsor Equity (residual) | 220.5 | 45.5%  |                                                                                                        |          |      |
| Total Sources             | 501.7 | 103.5% |                                                                                                        |          |      |

4 FINANCIAL PROJECTIONS — BASE CASE (\$M)

|                                            | LTM         | Y1          | Y2          | Y3          | Y4          | Y5          |
|--------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|
| Revenue                                    | 48.0        | 58.6        | 69.7        | 80.8        | 91.3        | 101.4       |
| Growth YoY                                 | —           | 22%         | 19%         | 16%         | 13%         | 11%         |
| Gross Profit (82%)                         | 39.4        | 48.0        | 57.1        | 66.3        | 74.9        | 83.1        |
| <b>EBITDA</b>                              | <b>26.2</b> | <b>32.3</b> | <b>38.8</b> | <b>45.5</b> | <b>52.0</b> | <b>58.3</b> |
| EBITDA Margin                              | 54.5%       | 55.1%       | 55.7%       | 56.3%       | 56.9%       | 57.5%       |
| D&A                                        | (1.4)       | (1.8)       | (2.1)       | (2.4)       | (2.7)       | (3.0)       |
| Cash Interest                              | —           | (21.1)      | (20.5)      | (19.4)      | (17.8)      | (15.6)      |
| PIK Accrual                                | —           | (2.1)       | (2.2)       | (2.4)       | (2.6)       | (2.9)       |
| Net Income                                 | —           | 5.5         | 10.5        | 16.0        | 21.6        | 27.6        |
| <b>Levered FCF (cash for debt service)</b> | <b>—</b>    | <b>7.3</b>  | <b>12.5</b> | <b>18.2</b> | <b>24.2</b> | <b>30.4</b> |
| Net Leverage (x EBITDA)                    | 10.2x       | 8.1x        | 6.5x        | 5.2x        | 4.1x        | 3.2x        |

LTM is the pre-acquisition standalone period and carries no LBO financing. Interest from the multi-tranche schedule on an opening-balance basis; PIK accrues at 8.5%. Cash taxes at 25% on positive EBT only. 100% of free cash flow after debt service sweeps the Term Loan B.

5 RETURNS ANALYSIS & CARRIED INTEREST WATERFALL

| <b>24.0%</b><br>GROSS IRR               | <b>20.5%</b><br>NET IRR | <b>2.9x</b><br>GROSS MOM | <b>\$875M</b><br>EXIT EV | <b>\$688M</b><br>EXIT EQUITY | <b>\$85M</b><br>GP CARRY               |
|-----------------------------------------|-------------------------|--------------------------|--------------------------|------------------------------|----------------------------------------|
| Distribution Tier (on sponsor proceeds) |                         | \$M                      | % Eq.                    | Recipient                    | Notes                                  |
| Return of Capital                       |                         | 220.5                    | 34.1%                    | LP                           | Entry equity returned first            |
| Preferred Return (8% p.a.)              |                         | 103.5                    | 16.0%                    | LP                           | Compounded over 5 years                |
| GP Catch-Up (20%)                       |                         | 25.9                     | 4.0%                     | GP                           | Full catch-up on preferred             |
| LP 80% Residual                         |                         | 236.8                    | 36.7%                    | LP                           | LP share post catch-up                 |
| GP Carried Interest (20%)               |                         | 59.2                     | 9.2%                     | GP                           | 20% carry on profit                    |
| <b>Total = Sponsor Exit Equity</b>      |                         | <b>645.9</b>             | <b>100%</b>              | <b>—</b>                     | <b>Sponsor 93.8% of \$688m total ✓</b> |
| Scenario                                | Rev CAGR                | Exit Mult.               | Gross IRR                | Net IRR                      | MoM                                    |
| Upside                                  | 22%                     | 16.0x                    | 34.3%                    | 29.9%                        | 4.4x                                   |
| <b>Base Case ★</b>                      | <b>~16%</b>             | <b>15.0x</b>             | <b>24.0%</b>             | <b>20.5%</b>                 | <b>2.9x</b>                            |
| Downside                                | ~11%                    | 13.0x                    | 11.1%                    | 9.3%                         | 1.7x                                   |

Net IRR derived from LP cash flows after an 8% compounded preferred return, full GP catch-up and 20% carry — not a flat haircut to gross. Sponsor returns reflect pro-rata dilution for the management rollover; the 10% MIP on gains is excluded (conservative).

6 SENSITIVITY ANALYSIS — GROSS IRR

Gross IRR across entry EV/EBITDA (rows) and exit EV/EBITDA (columns). Base case ★ at 18.5x entry / 15.0x exit ties exactly to the Returns tab.

| Entry ↓ / Exit → | 13.0x | 14.0x | 15.0x | 16.0x | 17.0x |
|------------------|-------|-------|-------|-------|-------|
| 16.5x            | 23.1% | 25.4% | 27.6% | 29.6% | 31.5% |
| 17.5x            | 21.2% | 23.6% | 25.7% | 27.8% | 29.7% |
| 18.5x            | 19.5% | 21.8% | 24.0% | 26.0% | 27.9% |
| 19.5x            | 17.8% | 20.1% | 22.3% | 24.4% | 26.3% |
| 20.5x            | 16.2% | 18.6% | 20.7% | 22.8% | 24.7% |

Shading: teal ≥ 24%, light-teal 20–24%, neutral 14–20%. The deal clears the 20% hurdle across most of the entry/exit space, and remains above ~16% even at a punitive 20.5x entry / 13.0x exit.

7 KEY RISKS & MITIGANTS

| Risk Factor                   | Severity | Mitigant                                                                                                     |
|-------------------------------|----------|--------------------------------------------------------------------------------------------------------------|
| Execution — growth below plan | Medium   | ARR gives ~12mo visibility; even the ~11% CAGR downside returns 1.7x MoM and preserves capital.              |
| Leverage — 10.2x entry        | Medium   | 100% cash sweep deleverages to 3.2x by exit; PIK toggle preserves ~\$2–3m/yr of cash; covenant-lite TLB.     |
| Multiple compression          | Low      | Base already assumes 15.0x exit (19% below entry); EBITDA growth carries returns. 13.0x downside still 1.7x. |
| Rate risk — floating TLB      | Low      | SOFR modelled at a conservative 5.3%; each 100 bp lower adds only ~0.2 pts of IRR.                           |
| Key-person concentration      | Low      | \$14.5m rollover + 10% MIP align the C-suite; succession plans in place across key roles.                    |
| Technology — LLM disruption   | Low      | Proprietary LLM layer integrated since 2023; ~18-month product lead vs. nearest competitor.                  |